The shock of defeat led to a reappraisal of both defence and foreign policies, leading to a new approach in India's China policy. In 1964, the Indian government formulated a five-year defence plan to increase the Army's size one-and-a-half times to 825,000 and modernise its weapons and equipment, build up the Air Force to 45 squadrons and equip it with modern aircraft, enhance the operational infrastructure in border areas, and expand the defence research organisation. Under the plan, the Army received new weapons and equipment, including rifles, carbines, mortars, and light and medium tanks, and expanded into a 21-division force, of which 10 were mountain divisions "specially organized, trained, and equipped for operations in the Himalayan region."[63] Although the Air Force never reached the 45 squadron strength, its fighter and transport squadrons were substantially augmented. Equally important were the creation of an Eastern Command, the introduction of ground-to-air missiles to protect vital areas, the establishment of an early warning system across northern India, and the construction of and improvements to airfields. These force accretions were integrated into a defensive strategy that aimed to deny China its territorial objectives in a future war by fighting a war of attrition.[64]

Simultaneously, India also began to seek external balancing arrangements to cope with the China threat. The first agreement it signed in this regard was the short-lived air defence agreement with the United States and the United Kingdom. The origins of the agreement lay in the appeal for military assistance that Nehru made to President John Kennedy on 19 November 1962 after the Indian defence effort collapsed in NEFA. Nehru sought immediate military assistance in the form of radar installations, as well as 12 squadrons of supersonic all-weather fighters manned by US Air Force personnel. Although the role that Nehru envisaged for these aircraft and radar installations was the